

THE PIVOT OR PERSEVERE MEETING

The decision to pivot requires a clear-eyed and objective mind-set. We've discussed the telltale signs of the need to pivot: the decreasing effectiveness of product experiments and the general feeling that product development should be more productive. Whenever you see those symptoms, consider a pivot.

The decision to pivot is emotionally charged for any startup and has to be addressed in a structured way. One way to mitigate this challenge is to schedule the meeting in advance. I recommend that every startup have a regular "pivot or persevere" meeting. In my experience, less than a few weeks between meetings is too often and more than a few months is too infrequent. However, each startup needs to find its own pace.

Each pivot or persevere meeting requires the participation of both the product development and business leadership teams. At IMVU, we also added the perspectives of outside advisers who could help us see past our preconceptions and interpret data in new ways. The product development team must bring a complete report of the results of its product optimization efforts over time (not just the past period) as well as a comparison of how those results stack up against expectations (again, over time). The business leadership should bring detailed accounts of their conversations with current and potential customers.

Let's take a look at this process in action in a dramatic pivot done by a company called Wealthfront. That company was founded in 2007 by Dan Carroll and added Andy Rachleff as CEO shortly thereafter. Andy is a well-known figure in Silicon Valley: he is a cofounder and former general partner of the venture capital firm Benchmark Capital and is on the faculty of the Stanford Graduate School of Business, where he teaches a variety of courses on technology entrepreneurship. I first met Andy when he commissioned a case study on IMVU to teach his students about the process we had used to build the company.

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